



January 17, 2012

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FEDERAL MARITIME COMMISSION

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Karen V. Gregory
Secretary
Federal Maritime Commission
800 North Capitol Street, N.W.
Washington, D.C. 20573-0001

**Re: Docket No. 11-22, Non-Vessel Operating Common Carrier
Negotiated Rate Arrangements; Tariff Filing Exemption**

Dear Secretary Gregory:

I am Lori Fleissner, President of Global Fairways, Inc. ("GFW") headquartered in Romulus, Michigan. GFW also operates two branch offices in the United States that are located in the New York and Chicago areas.

In addition to supporting the position of the National Customs Brokers and Forwarders Association of America, Inc. with respect to its initiative to eliminate the burden of tariff filing, I have filed two separate statements with the Commission, in its Dockets P1-8 and 10-03, that address that issue. While the Commission's decision to partially exempt NVOCC tariff publication is a good step forward, in my opinion the agency has not yet gone far enough and should eliminate the requirements for any tariff publication at least by NVOCCs once and for all.

Although GFW is a relatively small company, we have been very active in this industry and work with a number of agents at various locations around the world to assist our clients in both exporting and importing goods. It is clear to me that one of the best things the FMC and other regulatory agencies can do to support and implement President Obama's export initiative would be to reduce or eliminate the various unnecessary regulatory obstacles that burden international transportation and logistics. And, in that regard, I believe the record is clear that no one accesses or otherwise uses at least NVOCC rate or even rules tariffs, so that they simply serve no purpose. Consequently, the continued regulation in this area requires GFW to continue to expend precious resources in dedicating staff to provide useless information to our tariff publishing agent and then to spend money with that agent for the purpose of maintaining a tariff that no one ever uses.

I certainly appreciate the Commission's action that granted the exemption that was sought by the NCBFAA in this area. However, while GFW would very much like to utilize the Negotiated Rate Arrangements process, I believe that the exemption could be made significantly more useful by going further and eliminating additional regulatory requirements that have kept at least GFW from embracing this procedure as much as we would like.

As I have said in my previous statements, GFW and its agents separately negotiates rates with each individual customer for all of the traffic that we handle. In no instance do our customers access our tariff either before or after our rates are negotiated. Instead, we enter into a normal commercial relationship with each customer in advance of handling any cargo in which both we and our customer are fully aware of the applicable rates any specific services that are to be provided. And, the manner in which these negotiations take place are varied. Sometimes, the discussion and negotiation process takes place through an exchange of emails. On other occasions, we provide customers or potential customers with a schedule of our rates and services and they are accepted either by a phone call or simply by the fact that the customer tenders cargo.

But, our customers do not understand that the NRA process appears to require that they provide some written communication that contains their legal name, the legal name of any affiliates with whom we may also be working, and their titles and addresses. While this may seem to be a rather simple issue, the fact remains that we can rarely get written communications with the type of specificity that the Commission's NRA rule appears to require. As a result, it is difficult for GFW to fully utilize the exemption because of our concern that the documents in our files may at the end of the day not be 100% compliant with the literal requirements of the rule.

Another problem with the NRA requirements is the fact that the rule appears to require that we cannot properly cover surcharges and GRIs in the exempt rate, unless we are including that in a lump sum quote. Instead, the rule requires that surcharges and GRIs be published in a rules tariff. Completely aside from the fact that I don't see how a rules tariff is helpful to anyone (except, perhaps, carriers and NVOCCs), I do not understand why a surcharge – which is clearly a fundamental part of the rate structure – has to be segregated out from the exempt rate process back into the regulated rules tariff process.

I also understand that NVOCCs are not permitted to include other types of terms, such as credit and payment, minimum quantities, or even arbitration provisions, for fear that these may somehow overlap and cause confusion with the more formal NVOCC Service Arrangement process. I have difficulty understanding the rationale behind this limitation or what the confusion is. An NSA is a formal document that is signed by both parties and is filed with the Commission. But an NRA is obviously much less formal, yet nonetheless constitutes a binding, commercial arrangement. To the extent that the Commission's rule imposes restrictions of this nature, it necessarily impedes the ability of parties to fully take advantage of the exemption process.

I also have difficulty understanding the Commission's rationale that appears to limit the ability of parties to modify an NRA once it has been accepted. In the commercial world, it is normal for various conditions to change, thus necessitating a need to modify the arrangement. As long as both parties agreed to the change, the contract – whether oral or written – is modified and no one is hurt by that process. Given the

extraordinarily dynamic and competitive nature of the ocean shipping industry and the complex logistic goal service considerations that are in play every time goods are consolidated and shipped internationally, it is only natural that the parties would benefit by having the flexibility to modify their arrangements. Again, as long as the modification is consensual, there is no reason for the government to again impose some arbitrary restriction on these commercial arrangements.

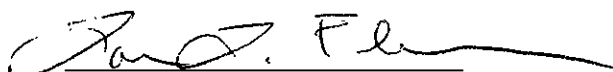
Summarizing these last points, the Commission's decision to issue the NRA exemption is a good first step. Nonetheless, in my opinion, the Commission should understand that the tariff mechanism is an antiquated regulatory procedure that has no purpose any longer, assuming it ever did. This is a good time for the Commission to recognize these facts, and issue a total exemption at least of NVOCC rate tariffs. That would clearly make this industry far more efficient, less costly and significantly more competitive, which can only benefit the American shipping public.

While on that point, it might be tempting for GFW to support the existing restrictions by which the NRA process is not available to foreign-based NVOCCs, even if they are appropriately registered with the Commission and appropriately bonded. But that is a short-sighted, self-serving position and one that could possibly lead to reciprocal treatment by other foreign governments. NVOCC rate tariffs serve no valid purpose and that is no less true for foreign NVOCCs as it is for U.S.-licensed companies. Having seen how the Chinese have adopted regulations governing steamship lines and NVOCCs that mirror the Shipping Act, I am concerned that the People's Republic of China may at some point recognize that their NVOCCs are being treated differently than our U.S.-based companies. It is not far-fetched to assume that the PRC, which in the last ten years has required that NVOCCs be licensed and now file tariffs with the Shanghai Shipping Exchange would take the further step of imposing further restrictions on U.S. NVOCCs. Indeed, it is not impossible that at some point the PRC might reconsider its willingness to let U.S. NVOCCs provide evidence of their financial responsibility by relying on their FMC bonds and instead require cash deposits.

But the main point is, and without regard to any possible retaliation, commercial disputes between NVOCCs are relatively rare. To the extent a foreign NVOCC engages in malpractices, that is likely to happen whether or not the 99.99% of responsible NVOCCs are burdened with archaic, unnecessary restrictions. In other words, retaining existing tariff regulations that burden compliant NVOCCs will not preclude those companies that don't comply from engaging in malpractices. All that happens is that the compliant NVOCCs are unnecessarily burdened by retaining the old system. And, this again ultimately hurts the U.S. exporter and receiver.

In closing, I want to take this opportunity to thank the Commission for the steps it has taken to date in this area, and urge the Commission to go further and loosen and eliminate the unnecessary regulatory restrictions on these types of commercial activities by totally exempting NVOCC tariffs from regulation.

I declare under penalty of perjury that I have read the foregoing and that it is true and correct to the best of my knowledge, information and belief.


Lori L. Fleissner, President